



Market Briefs Pro

Read less news

Good morning, Pro Briefers!

In November 2024, we reported on lithium and some of its up and coming investing opportunities.

Since then? EV demand has increased globally, battery production is rising, and supply hasn't kept up with demand.

But we were only half right on this opportunity.

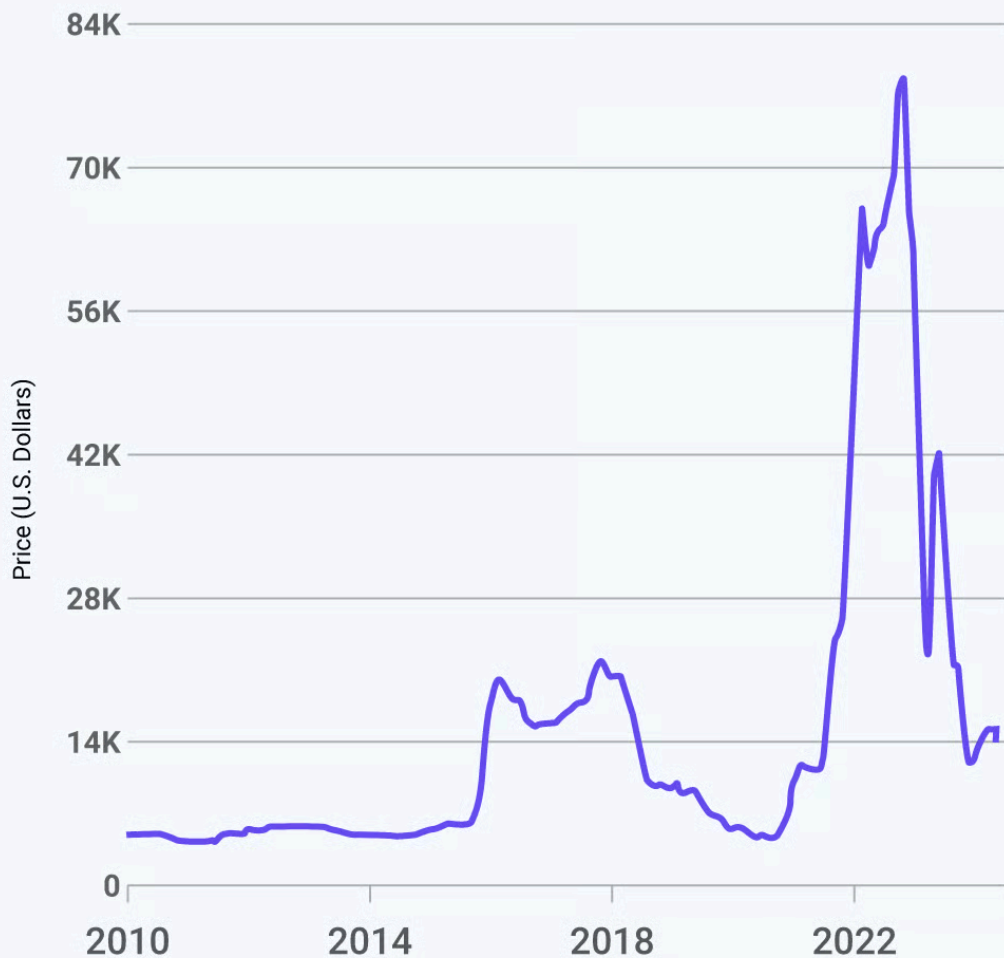
Demand did explode. As of November 2025, EVs account for over 60% of global lithium use, and the International Energy Agency still projects a 30% supply shortage by 2030.

So the original Innovation Shift we identified is largely the same - but is now developing further, with one key change investors will want to take note of:

Companies already producing lithium profitably at low prices, while scaling efficiently, may offer investors opportunities as the lithium market resets and demand continues growing.

So what changed? Lithium prices didn't keep up.

Battery Grade Lithium Prices, 2010-2024



 Market Briefs Pro

Data via Carbon Credit

After hitting nearly \$80,000 per metric ton in late 2022, battery-grade lithium fell to under \$15,000 by mid-2024.

- Beyond EVs, these batteries are used in many rechargeable electronics like phones and laptops.

Why? Oversupply.

Lower prices = lower profits, as batteries are cheaper for consumers to buy, but end up costing producers more to mine.

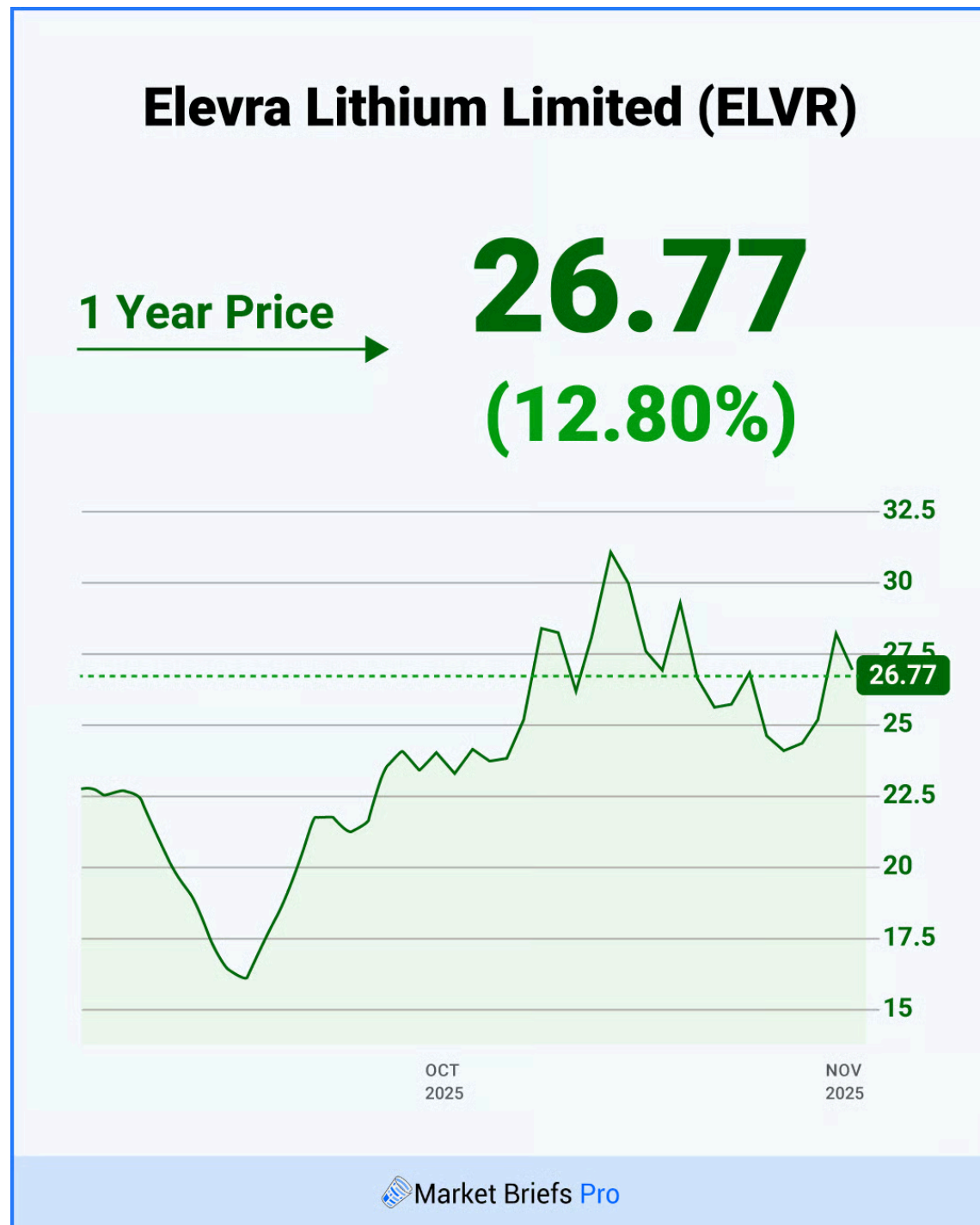
Our analysts sat down with the CEO of Nasdaq-listed Dragonfly Energy, Denis Phares, in an exclusive interview to learn more about this shift.

We asked Denis if he thought prices were going to rise in the near future.

"I think so. I think they're pretty low right now... generally the expectation is it'll come back around 20 [thousand], maybe a little higher and that seems to be where it'll settle out, but we'll see where that goes."

So, producers slowed lithium production, and prices fell significantly.

That price collapse created winners and losers:



- **QuantumScape (QS):** +211% YTD
- **American Battery Technology Company (ABAT):** +348% YTD
- **Li-Cycle Holdings (LICY):** Near-bankruptcy, down ~90% YTD
- **Piedmont Lithium (PLL):** Converted into shares of Elevra (ELVR), an investment into them would be down ~20% YTD

So what separated the winners from the losers? *Execution.*

This week, we're revisiting lithium - breaking down what happened, where the opportunity stands today, and a new company we're keeping an eye on.

But first, let's give a brief refresh on this overall shift and investing opportunity.

ANALYST REPORT

Tickers we're tracking:

Solid-state: QS

Recycling: ABAT

Producer: SGML

ETFs: LIT, BATT

BRIEF REFRESH

The Reset

Our analysts believe that lithium opportunities are even stronger in 2025 than they were in late 2024.

That's because despite slow growth of EVs in Europe and the U.S., Asia is increasing its demand, fast.

- 60% of the world's population lives in Asia.

40% of all new EVs are now sold in China.

- Sales are slower in western markets, but Europe and North America are at 15-20% and rising.

Global EV sales are projected to hit 17+ million units in 2025.

Plus, AI data centers and grid power storage are adding demand we didn't fully anticipate in 2024.

In addition, battery costs continue falling, making EVs competitive with gas cars even without subsidies in many markets.

The problem? There's too much lithium right now.

Lithium Producing Countries

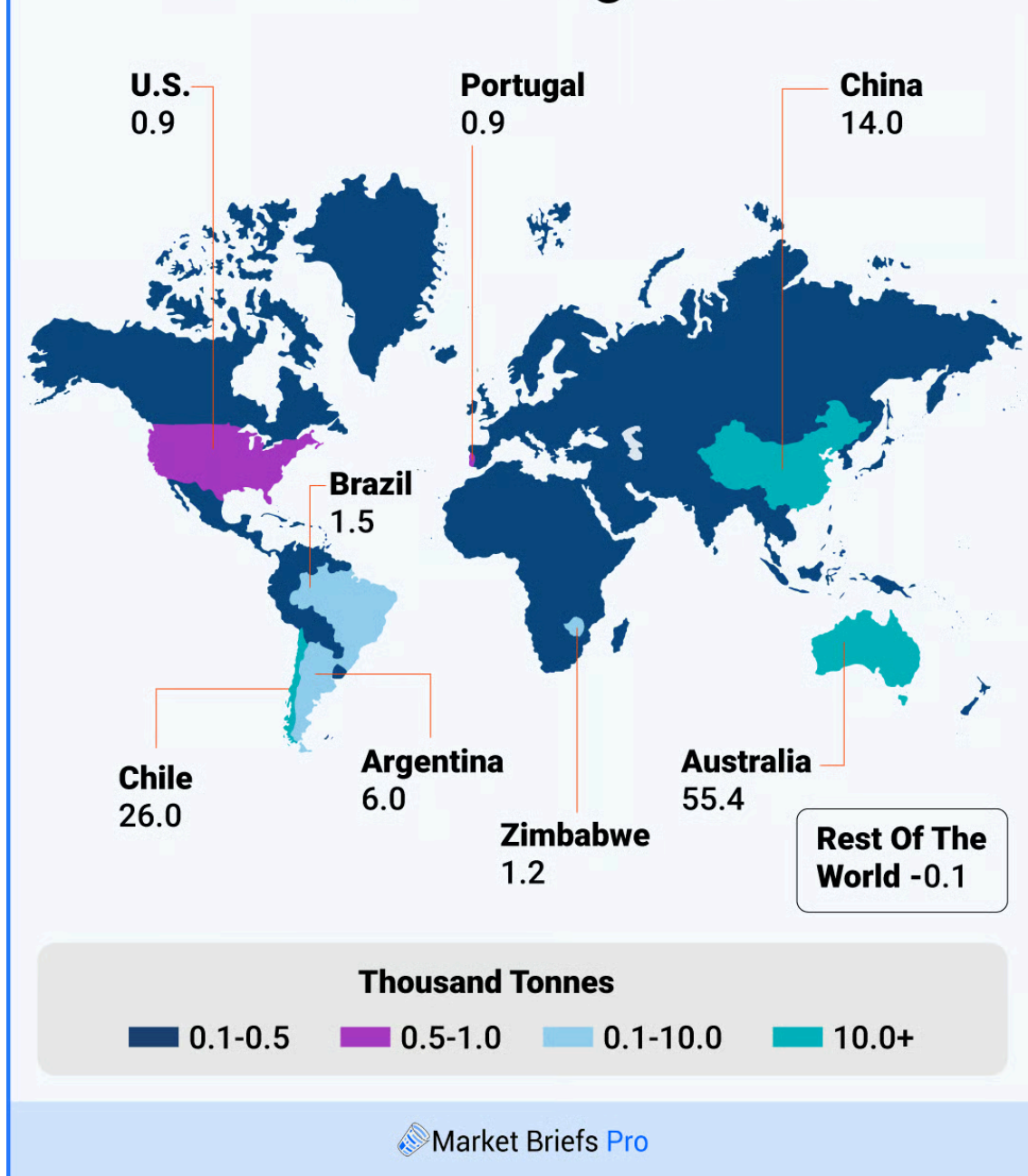


Image [via](#) Solar Reviews

Chinese producers aggressively increased production throughout 2023-2024, anticipating sustained high prices.

When demand slowed slightly, prices collapsed.

Here's the reality - no new mines can be started with the price of lithium at \$12,000/metric ton.

In English: It needs to make economic sense for these producers to mine lithium.

If prices are too low, then producers will lose money trying to mine lithium.

In our Interview with Denis, he explained the economics of lithium prices.

"I think the most sustainable pricing is probably in the 20 to 30 [thousand] range."

Denis went on later to say, "ultimately the prices have to be high enough so that everybody is making money in the supply chain. But if they're too low, it also gets hard to even get these projects off the ground."

If prices stay this low for another 12-18 months, supply of lithium will dry up.

There's been new found interest from the U.S. government through companies like Lithium Americas (LAC).

- The U.S. government struck a deal with LAC to receive 5% equity in the company.

But, its shares are extremely volatile right now - and **we do not recommend it as an opportunity** until more domestic production of lithium becomes a national priority.

That could take years and no one knows for sure when prices will fluctuate again.

If we're not making more lithium, and demand keeps going up, there won't be enough lithium for batteries in the future.

That eventual reset creates an opportunity - especially in companies that are already producing profitably at current prices.

OUR TAKE

What We Got Right

QuantumScape is slowly exiting speculation territory and transitioning into a growth stock. It remains as a top opportunity in this shift.

What does it do? QS develops lithium solid-state batteries - these are the rechargeable batteries that are found in EVs and computers.

Solid-state lithium batteries hold 40% more energy than other batteries, last five times longer, and can be charged in 10-minutes, much faster than traditional lithium-ion batteries.

So solid state batteries were never an “if” but a “when” - this tech has immediate applications and is highly valuable.

The other question was “who”, and QS has hit every major milestone while competitors stumbled.



Under CEO Siva Sivaram, QuantumScape secured Volkswagen as a strategic partner and began shipping commercial prototypes to automakers in 2024.

It's also scaling production at its San Jose facility.

The result? Shares are up 211% since our November 2024 report.

But the story isn't over.

QuantumScape is entering its most critical phase: commercialization.

The company has proven the science works - now it's answering "can we manufacture at scale?"

Volkswagen has committed to production trials and other major automakers are looking to get in.

If QS ships meaningful commercial volume in 2026, the stock could rise further.

What's next? *Profit.* In Q3 2025, QS earned \$92 million in revenue, down from \$96 million during the same quarter last year.

QS is still operating at a loss but an increase in commercial sales in the future could change that.

While QS bet on breakthrough technology, American Battery Technology Company took a different path.

American Battery Technology Company (ABAT)



 Market Briefs Pro

Image [via](#) Yahoo! Finance

ABAT focuses on government-backed domestic recycling and extraction.

They take batteries that are at the end of their life, and extract the metal, lithium, and other resources.

Those resources are then used to create more batteries.

ABAT's strategy is simple - scale methodically.

Until recently, the company only had one commercial facility, allowing it to focus resources in one place before scaling.

This has allowed ABAT to preserve cash while other names in the space have burned through it.

Scaling its commercializing efforts slowly is now starting to pay off.

By mid-2025, ABAT had proven its Direct Lithium Extraction technology at pilot scale and became a strategic partner to U.S. automakers looking to lower risk in their supply chains.

The company secured over \$237 million in Department of Energy funding in order to boost its recycling and production of lithium batteries and plans to open its second commercial facility.

As a result, shares are up 284% since November 2024.

Both companies succeeded because they executed within their means, hit milestones on schedule, and had capital backing from sophisticated partners.

That pattern separated them from the failures and why they remain an opportunity investors will want to keep an eye on.

TIMING

Where We Were Too Early

Not every company in our previous lithium report executed this shift.

Li-Cycle is also a lithium recycling company, but failed to achieve success. As a result we no longer see them as an opportunity.

On paper, Li-Cycle looked solid: 95% lithium recovery rates from recycling, partnerships with major automakers, and a clear path to profitability as EV battery life cycles began to end.

What went wrong? Li-Cycle took an aggressive approach - it increased its capital expenditures to build commercial-scale facilities before proving the

economics at pilot scale.

The company burned cash faster than it could secure funding, missed production milestones, and fell below the capital reserve thresholds required to access government loans.



Data [via](#) Yahoo! Finance

- With no cash to fall back on, the company began to fail after construction timelines and costs for its facilities both increased.

By late 2024, Li-Cycle was forced into debt restructuring, wiping out most equity value, and has since been delisted from American exchanges.

Piedmont Lithium faced different problems, but the result was similar.



Data [via](#) stock analysis

Piedmont controlled a significant lithium deposit in North Carolina.

Domestic supply of lithium could power America's future as a dominant force in the industry.

But there were two problems:

- Local resistance in Gaston County, North Carolina, has stalled the project for years. Permits that looked "imminent" in 2023 remain

unissued.

- The need to finance a \$1+ billion hard-rock mine is nearly impossible when lithium is trading at \$12,000/tonnes.

In late 2024, we believed the demand for lithium would drive up the price, as well as push the Gaston County project forward, but that didn't happen.

Piedmont eventually merged into Sayona to form Elevra Lithium Limited.

An investment in PLL would still be down around 20% overall as of November 2025.

Post merger, Elevra may be an opportunity for investors, and our analysts are holding on to shares for now.

But, we also believe it's too early to say if it will be a frontrunner or fall behind as this shift develops.

PRODUCERS

Commercial Producers

QS and ABAT focus on the commercialization of batteries, which use lithium.

But lithium is used for a variety of different things beyond just batteries - which means companies that can produce lithium profitably stand out as an opportunity as well.

One of those rising companies is Sigma Lithium (SGML) - a Brazilian lithium producer that began commercial production in 2024.

The company operates the Grota do Cirilo mine in Minas Gerais.

- This mine is of the largest hard-rock lithium deposits outside Australia.

Why now? With prices dropping, it's expensive to produce lithium, *but we still need it.*

Its mine is operational and lithium is being shipped right now.

Sigma Lithium Corporation (SGML)

1 Year Price

5.30
(-61.47%)



 Market Briefs Pro

Data [via](#) Yahoo! Finance

Its Q2 2025 production targets beat Wall Street expectations and it plans to produce 270,000 tonnes of lithium in 2025, more than double its output in 2024.

What separates SGML as a unique opportunity though is its cost structure.

SGML is getting better at what it does and spending less to do it.

The company is profitable even when lithium prices are at rock-bottom levels.

That's rare because most lithium producers are losing money in 2025.

Here's the catch: SGML's recent earnings looked weak on paper.

Revenue dropped 62% year-over-year in Q2 2025, and the company posted an \$18.9 million loss.

But this was all part of its strategy.

SGML chose to hold back 28,000 tonnes of lithium instead of selling it at low prices.

Price change of lithium batteries by weight



They're sitting on that inventory, waiting for prices to recover. When they do, that stockpile could be worth around \$17.5 million.

In the meantime, the company is paying down debt (it reduced short-term debt by \$6 million in Q2) and expanding production through its Phase 2 project.

The bottom line: SGML is positioning itself to profit when lithium prices bounce back - making it a potential opportunity investors may want to keep an eye on as this shift unfolds.

RISKS

Slowing the Reset

The biggest risk to this shift is prices - if lithium stays at \$12,000/tonnes for years, it will be tough for producers to create more of it.

There are also risks related to execution. As of 2025, QS is still scaling its commercialization efforts, but there's no guarantee that this will pay off.

Just like we've seen with other companies in this space, margins are thin, so one wrong misstep could hurt these companies' ability to monetize for years to come.

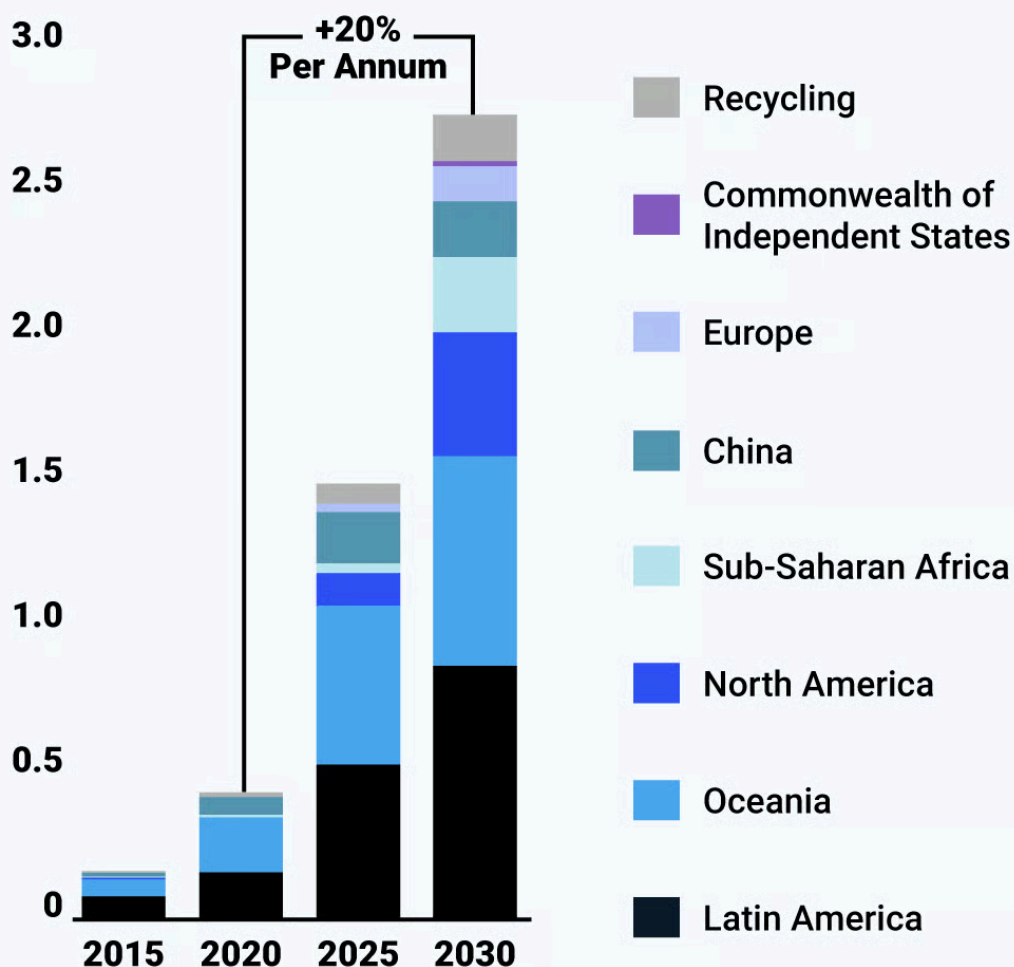
Breakthroughs in technology may also shake up the market in the future.

Sodium-ion batteries, alternative chemistries, or other breakthroughs could reduce lithium demand.

While it's unlikely in the next 5 years, it is possible over a decade.

Global Lithium Production By Source

Million Metric Tons Lithium Carbonate Equivalent



Market Briefs Pro

Data via McKinsey

Lastly, 80% of lithium refining happens in China. Trade wars, export restrictions, or supply chain disruptions could create volatility.

That could hurt supply and damage revenue streams.

Or, it could boost demand for domestic producers like ABAT - there's really no way of knowing until those events happen.

SGML for instance is a more speculative investment opportunity - simply because it can't sit on its inventory forever.

If prices do not recover, it may need to sell its inventory at a loss, or continue to wait, which eats into its capital and makes it harder to compete in the industry.

"If the costs stay low, I think it's going to delay investment in lithium infrastructure, lithium recycling, lithium mining. So, I think that's actually not a great scenario," - Denis Phares.

REVIEW

The Future of Lithium

The opportunities in lithium haven't disappeared - this shift is just resetting.

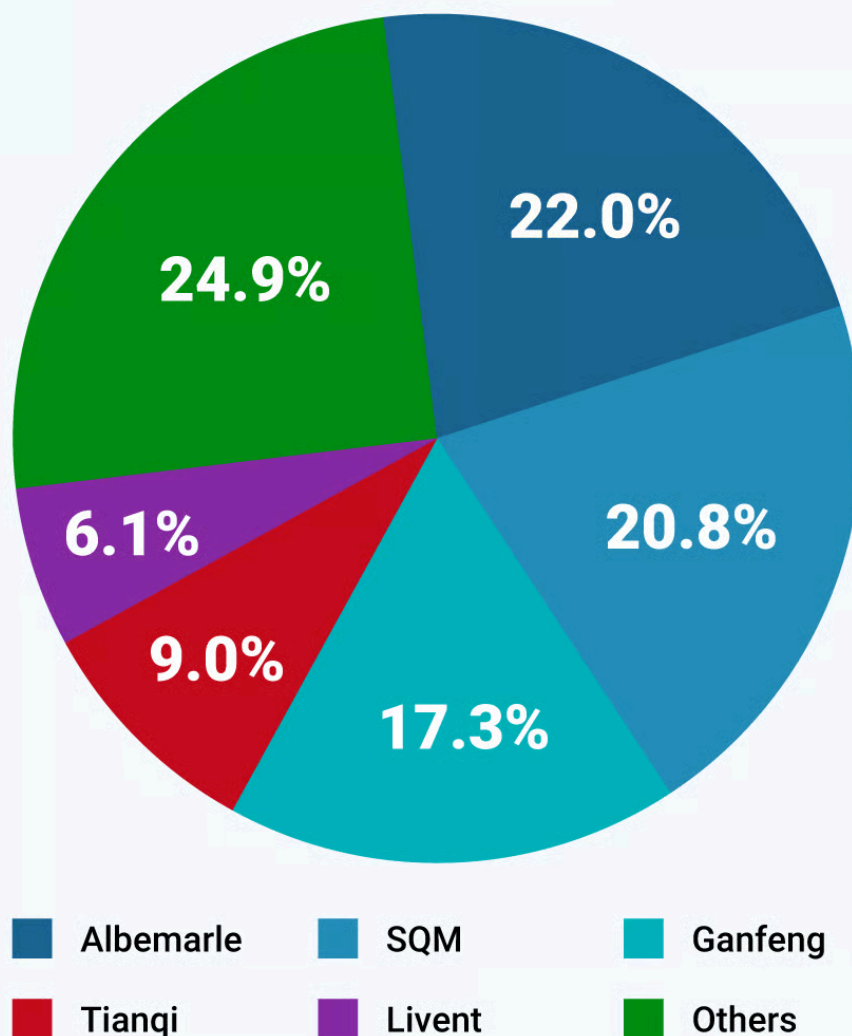
Oversupply is an issue right now, but that won't always be the case.

"Now you can get a bigger return on your investment. Folks can make money on mining on processing and that's a good thing. So 20 to 30 or whatever that number is for the industry is not a bad number. I think you will be able to sell a lot of batteries," - Denis Phares.

So it's reasonable to assume that the companies executing on this shift well now will continue to do so, especially as prices rise for lithium in the future.

Global Lithium Market Shares

Estimated Share Of Total Supply Of LCE in 2020



 Market Briefs Pro

Data via Mineral Economics

In revisiting our report one year later, we got a few things right:

- Demand is soaring beyond projections.
- Solid-state batteries are the future, and are close to full-scale commercialization.
- Execution discipline matters.

But, we noticed some adjustments along the way:

- Lithium prices - oversupply has hurt production.
- Production before proven products hurts future profitability.

What we're expecting in the next year:

- QS commercialization will grow.
- SGMT and ABAT will see profits grow alongside the need for stable producers of lithium.
- Lithium prices will rise as demand for EVs and other electronics grows.

Amplify Lithium & Battery Technology ETF (BATT)

1 Year Price



13.58
(45.81%)



We still also see the Global X Lithium & Battery Tech ETF (LIT) and Amplify Lithium & Battery Technology ETF (BATT) as opportunities for passive investors, which we featured in our previous report.

- Both offer diversified exposure to miners, battery makers, and EV companies.

Both ETFs have significantly outperformed the S&P 500 since our November 2024 report - up 40%+ versus the S&P's 19%+.

In the end, investors will want to monitor this shift over the next year and a half or so, as demand and opportunities to profit from lithium grow across the board.



- Briefs Pro Team

Subscribe to Market Briefs [here](#).

*The Briefs Media team often invests in the same stocks and assets we cover.

Why? Because we believe in practicing what we preach (and preaching what we practice).

But keep in mind: We're not financial advisors. Everything we provide is for education. You've got to do your own due diligence and think about what makes sense for your own financial situation. Investing has risks.

You are never guaranteed to make money when you invest, you might even lose money. If you're looking for personalized financial advice, we highly recommend speaking with a licensed financial advisor.

Our mission? It's simple - to help you be better with money.

Sent to: hello@briefs.co

[Unsubscribe](#)